Rather than throw off income, the home costs money to maintain. Corporate stocks—perhaps received as part of a key-man compensation scheme—rarely pay good dividends. Other assets include cars and furniture as well as tax shelters and speculative deals that provide little income. John and Mary Doe each earn, say, $65,000 a year. After Social Security, unemployment, and other payroll taxes they have a combined gross income of over $120,000. With that much money they think they should be living well. But day in and day out, they spend to maintain their assets. With what's left over they can barely afford a pizza.

Let's suppose John and Mary follow the advice in this book and retire in 1988.

First, they read chapter 8 and start trying to live on $50 a day. Because of the big house, cars, and other expensive assets that soak up cash, their current living costs are way above that. At times John and Mary feel that what they spend on parking alone could keep Brazil current on its external debt. But once John and Mary start to shed assets, they'll find they need less to live. Little by little they'll get down to $50 a day.

Next, John and Mary put the house up for sale. We suppose it takes a few months to find a buyer, and that the closing is set for January 1989. John quits work in December 1988, telling his boss he's having a hard time giving his all to the job. He plans to rest, write, and travel for a time before looking for new work. John has been with the company many years and it's almost Christmas. The big boss gives him six months' severance pay.

In January 1989, John and Mary close the sale of the house and move to a small apartment in a cheaper section of town. They get a break on the rent because John's brother owns the building. (Chapter 5 tells how and where you can rent for $200 a month or less.) John and Mary enjoy fixing the place up a bit. They learn that one painter can paint the entire apartment in a few days. In the mansion they had before,